Jyoti CNC Automation: The Machine Behind the Machine — A 10-Chapter Investment Dossier — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to Jyoti CNC Automation: The Machine Behind the Machine – A 10-Chapter Investment Dossier: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: Jyoti CNC Automation: The Machine Behind the Machine — A 10-Chapter Investment Dossier (IN)
Research Session Cutoff: 2026-11-06 • **Generated:** 07 Nov 2026, 06:58 PM PST
Core Verdict: WAIT_FOR_SUPPORT (NO_NEW_ALLOCATION_UNTIL_SUPPORT_AND_HURON_EVIDENCE_CLEAR)
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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

₹1,019.90

VERDICT

WAIT_FOR_SUPPORT

STAGE POSTURE

Stage 2 (Markup)

BUY / SUPPORT ZONE

₹949.84–1,019.19

BASE / BULL TARGET

₹900.00 / ₹1,680.00

PREFACE & CORE THESIS

Jyoti CNC Automation designs and builds CNC turning and machining centres, five-axis machines and multitasking systems, and owns the French Huron platform. At the verified 6 November 2026 close of ₹1,019.90, its market value was ₹23,195 crore and its trailing P/E was 75.1, so investors are already paying for growth. In H1 FY27, consolidated revenue rose 21% to ₹1,110.5 crore, while EBITDA rose 7%, PAT fell 17%, and the order book reached ₹5,082 crore; Huron licensing, the French case and working capital still cloud conversion. Our independent verdict is WAIT FOR SUPPORT, with no new allocation at CMP: monitor ₹949.84–₹1,019.19 as a technical reference, keep ₹817.89 as structural invalidation, and require stronger cash conversion and Huron evidence. Our probability-weighted 12-month scenario value is ₹936 under stated analyst assumptions, below the close; the long-term platform is credible, but the current entry is not.

PROLOGUE

The Business, The Price & Our Independent Verdict

> *"A good machine earns its keep; a good investment must earn its price."*
>
> — RESEARCH DESK MAXIM

Come sit across the desk with me. We are not starting with a slogan about self-reliance or a chart that has already gone up. We are starting with the customer's factory floor, where a machine tool must cut metal to tolerance, run repeatably across shifts, and keep making saleable parts after the commissioning engineer has gone home. Jyoti CNC Automation designs and manufactures that equipment: turning centres, vertical and horizontal machining centres, turn-mill platforms, five-axis machines and multitasking systems. It also owns a French high-precision platform through Huron Graffenstaden. The proposition is industrially attractive; the investment question is whether the economics of that proposition can catch up with the price you pay today.

On the verified 6 November 2026 close, the share price was ₹1,019.90. Screener showed market capitalisation of ₹23,195 crore and trailing P/E of 75.1; the TradingView snapshot showed a 52-week range of ₹580.10–₹1,134.60 and a price above its rising 50-day and 200-day averages. That is a good business with a market expectation attached, not a bargain hidden in a quiet corner. The price asks investors to believe that Indian industrial investment, import substitution, defence and aerospace orders, new factory capacity, and a successful Huron recovery will translate into high-quality earnings rather than just a larger backlog and more inventory.

Here is the tension you and I should keep in view throughout the book. In H1 FY27, consolidated revenue advanced 21% year on year to ₹1,110.5 crore, yet EBITDA advanced only 7% to ₹240.2 crore and profit after tax declined 17% to ₹129.7 crore. At the same time, the order book reached ₹5,082 crore and Q2 deliveries set a company record. The forward opportunity is therefore real, but the latest half-year did not convert growth into stronger consolidated earnings. A large part of our work is to decide whether this is a temporary mix,

commissioning and Huron issue—or a recurring feature of a business that must fund long customer cycles and expensive capacity.

Management's strongest case is coherent. It says demand is deep, new capacity is being put to use, the order book covers upcoming quarters, India still imports a large share of its CNC requirements, and controllers, drives and motors can eventually be developed in-house. Management has targeted 8,000 machine deliveries in FY27, about 25% consolidated EBITDA margin, and a mechatronics transition. The bear case is also coherent: FY26 free cash flow was negative ₹268.8 crore after capex, inventory was ₹1,440.5 crore at September 2026, gross borrowings were ₹942.9 crore, and the French subsidiary faces an unresolved judicial investigation with machines under export-control scrutiny. The statutory auditor highlighted the matter without qualifying its opinion; that is not the same as declaring the risk immaterial.

My judgment is WAIT FOR SUPPORT, with zero new allocation at ₹1,019.90. The consumer-tool snapshot puts the technical reference band at ₹949.84–₹1,019.19 and structural invalidation at ₹817.89; the current close is marginally above the band. Even a successful test of support would not, by itself, cure the valuation problem. Under an explicit 12-month scenario model—not company guidance—we use ₹12/₹35, ₹20/₹45 and ₹28/₹60 as bear, base and bull EPS/multiple pairs, producing ₹420, ₹900 and ₹1,680. At 25%, 55% and 20% probabilities, the weighted value is ₹936, below the close. The bull outcome is substantial, but it depends on earnings recovery and a still-generous multiple; you do not need to pay in advance for both.

For a short trade, the technical setup is constructive but not decisive: Stage 2, rising averages and price close to the 50-day average, offset by low-volume confirmation and a price just outside the snapshot's support band. For a medium-term position, the gate is conversion: dispatches, consolidated EBITDA margin, Huron export clearances, and cash generated after working capital. For a long-term compounder, the machine platform and installed base deserve continued study, but the present price is not justified by historical cash conversion alone. Revisit if the share holds the support band and the next two reported periods show margin recovery plus positive free cash flow after growth capex; step away if Huron restrictions widen, order execution slips, or the rising 50-day average fails.

One limitation belongs on the table before we turn the page. The issuer's online annual-report archive and the accessible consolidated series do not provide a reliable ten-year set beginning in FY2017. We found eight sourced fiscal years through FY2026 and no dependable FY2017–FY2018 consolidated figures. Those two cells remain unavailable rather than guessed. The next chapter traces the business through its public history, and Chapter 6 will distinguish the eight-year record from the missing pre-publication years.

As you listen to management, separate three clocks. The customer clock runs from order to machining trial, delivery, installation and acceptance. The factory clock runs from capacity commissioning to stable yield and repeatable output. The investor clock runs from valuation to the next evidence point. Jyoti's current order book is promising on the first clock; its added capacity is still being tested on the second; and the share price asks you to be patient on the third. A good decision requires all three clocks to be visible at once. If one is delayed, you should not assume the others will compensate automatically.

NARRATOR'S REFLECTION

When an order book is large and a stock is already priced for growth, your job is not to choose which headline feels better. Ask what must happen between order receipt and cash in the bank. In this case, the answer includes factory execution, product mix, working capital, export licences and valuation—all at once.

GLOBAL PARALLEL • US / INDIA / EUROPE

In the United States, a machine-tool franchise such as Haas illustrates how installed base, applications support and service can matter as much as the metal enclosure. In India, Lakshmi Machine Works shows why a machine-tool company may sit inside a broader industrial portfolio rather than offer a pure-play valuation. In Europe, DMG MORI's 2025 order intake rose 16% to €2,754.8 million, a useful cycle indicator, not proof that Jyoti will earn the same economics.

THE PRICE-TO-PROOF TEST

- Demand is not revenue; backlog is not cash.
- Revenue growth is not earnings growth; H1 FY27 showed the distinction.
- A Stage 2 chart can coexist with an unattractive fundamental entry.
- Pay for evidence that has arrived, not for every capacity plan that might arrive.

CHAPTER I

How the Business & Stock Got Here — Past Cycles & Pivots

> *"A pivot is valuable only when the next cycle can pay for it."*
>
> — RESEARCH DESK MAXIM

Jyoti CNC's history begins before its public market history. The company's official chronology says its promoters were involved in machine tools through Jyoti Enterprises from 1989, that Jyoti was incorporated in 1991, and that CNC manufacturing continued within the company from 2002. The early business moved from gearboxes and conventional machine tools into precision lathes and then CNC systems. That sequence matters because today's claimed advantage is not a single patent or one famous model; it is a body of manufacturing routines, design work, application knowledge and a service network built over decades. Yet age itself is not a moat. You and I should ask which parts of that accumulated experience show up in customer retention, reliability, margins and repeat orders.

The most consequential strategic leap came in 2007, when Jyoti acquired Huron Graffenstaden in Strasbourg, France. Huron's heritage reaches back to the nineteenth century, and its official profile points to a long history in five-axis milling. For Jyoti, the acquisition offered a European engineering identity, higher-precision capability and access to customers and markets that would have taken years to build from Rajkot alone. The transaction also brought a different risk set: a cross-border subsidiary, euro exposure, a separate regulatory environment, and a premium product platform whose commercial success depends on certification and export permissions. The acquisition is therefore both capability and obligation. We should not describe Huron only as "technology acquired"; it is also a subsidiary whose current continuity, licensing and profitability affect the group's consolidated economics.

By FY2022, Jyoti's investor materials described it as India's second-largest CNC machine manufacturer with roughly 8% domestic market share. That is a dated company claim, not a current independent market-share measurement. The business had built a portfolio

extending from turning centres to five-axis machines and had begun to leverage India's manufacturing base to serve multiple sectors. The company later marketed more than 200 product variants. Such breadth can help a direct sales engineer cross-sell into a customer's plant, but it also increases engineering, inventory, service-training and spare-parts complexity. In a cyclical capital-goods business, breadth is not automatically efficiency; the test is whether the common platform and component base offset the cost of maintaining many variants.

The IPO in January 2024 marked a second major transition: private industrial history became a daily market price. The issue price band was ₹315–₹331; shares listed on 16 January 2024, with the opening market price above the issue price. The fresh issue was designed to reduce debt and fund long-term working capital, among other uses. That funding choice addressed a real constraint: high-value machines require materials, work-in-progress and customer qualification before all cash is collected. Equity capital can reduce financing risk, but it also dilutes earlier owners and creates public-market expectations that the business must now satisfy every quarter. The post-IPO comparison is therefore not simply "more capital equals more growth"; it is whether the capital earns returns above its cost after the new share base is counted.

The public-market cycle has been unusually vivid. A historical price source records a low near ₹368 in January 2024 and a peak of ₹1,504.30 in December 2024. That path included an IPO rerating and a steep rise in optimism about defence, aerospace, domestic manufacturing and machine-tool scarcity. By November 2026 the share traded at ₹1,019.90, below the old peak but above its 52-week low of ₹580.10. The lesson is not that the stock "must" revisit its high or that the high was irrational. It is that the market has already priced both a national industrial narrative and an operating recovery before the Huron investigation and current cash conversion have been fully resolved. Price cycles can change faster than installed machine capacity.

Now let us connect the corporate cycle to the operating cycle. Consolidated revenue moved from ₹929 crore in FY2023 to ₹1,338 crore in FY2024, ₹1,818 crore in FY2025 and ₹2,093 crore in FY2026 in the issuer's FY27 presentation. EBITDA rose from ₹97 crore to ₹301 crore, ₹491 crore and ₹527 crore across those years. The margin expansion through

FY2025 was followed by a reduction from 27.0% to 25.2% in FY2026, while PAT rose more slowly from ₹316 crore to ₹336 crore. That is still growth, but it says the easy part—using the post-IPO balance sheet and recovering utilization—may be behind us. The next leg must come from capacity, mix, service and Huron execution, not just a low base.

History also exposes a cyclical shadow. Before the 2024 rebound, revenue in the accessible consolidated series fell from ₹965 crore in FY2019 to ₹532 crore in FY2021, while losses reached ₹77 crore in FY2021. Sales recovered to ₹746 crore in FY2022, but the public data set does not include comparable consolidated FY2017 and FY2018 values. We will not build a false ten-year compound-growth story by treating the IPO as the beginning of the company or by manufacturing numbers for the two missing years. The pre-IPO record is relevant precisely because it reminds us that the company's end markets can defer machine purchases when customers stop investing.

The 2025–26 chapter added capacity on both sides of the business. India's annual CNC capacity was increased from 4,400 to 6,000 machines, while a further 10,000 machines of capacity was commissioned and being put to use in FY27. Huron opened an expanded Strasbourg facility in November 2025, doubling its capacity. In a normal demand environment, this creates operating leverage: more units over the same engineering base. In a strained environment, it creates depreciation, payroll and interest before shipments convert into cash. The French judicial investigation, disclosure of machines under customs control, and later export-license delays transformed Huron from a straightforward growth asset into a timing and governance risk. The independent auditor emphasized this matter but did not qualify the report; the group's assessment of recoverability remains management's judgment.

Across the Atlantic, US manufacturer Haas illustrates a different route: a concentrated machine-tool business built around manufacturing scale, an identifiable product family and a service/dealer ecosystem. In India, Lakshmi Machine Works demonstrates the alternative of carrying CNC tools within a much broader textile-machinery and heavy-castings portfolio. In Europe, Huron contributes a legacy precision brand whose history predates the modern Jyoti group by more than a century. You should compare these not as interchangeable companies but as three strategic choices—focused scale, diversified industrial balance, and acquired high-end heritage. Jyoti is attempting to combine all three: Indian manufacturing

cost, product breadth and European sophistication. The combination is attractive only if management can coordinate it without letting cross-border complexity swallow the margin.

So our historical verdict is two-sided. The promoter-led company has repeatedly moved up the technology ladder and has invested through difficult cycles rather than remain a commodity lathe maker. Its IPO relieved balance-sheet pressure and made capacity expansion possible. But each pivot has raised the proof burden: Huron must earn its keep, 10,000 added units must find profitable demand, and a wider product portfolio must translate into cash rather than stockpiles. The next chapter opens the machine door and asks what exactly is being sold, to whom, and which part of the reported mix has the economic weight.

The IPO also reshaped what can be known. The official archive makes a run of annual reports available beginning in FY2019–20; before that, the business was private and its public record is incomplete. Listing brings quarterly exchange filings and a market price, but it does not make every old private-company number comparable with a modern consolidated series. The equity story has therefore been told through two different windows: a long operating history described by the company, and a shorter financial history investors can independently inspect. When a management slide says the brand has existed since 1989, it is evidence of continuity; it is not a substitute for audited decade-long cash-flow data.

The stock's December 2024 peak deserves its own interpretation. A 2024 public-market investor was buying a newly listed capital-goods name after a large initial premium and a strong period of industrial optimism. By the 2026 close, the company had delivered FY24–FY26 revenue growth, but also disclosed a French investigation, elevated working capital and another capacity wave. The old high is therefore not a target. It is a record of what investors were willing to pay when the growth narrative was strongest. The present decision has to be rebuilt from the current EPS, current debt and current legal disclosures rather than anchored to that prior quote.

NARRATOR'S REFLECTION

A company's age can conceal how young its current economics are. Jyoti has been in machine tools for decades, but the current listed group, post-IPO balance sheet and post-Huron legal environment are recent. Do not project every earlier year into the present without checking what changed.

GLOBAL PARALLEL • US / INDIA / EUROPE

Haas represents a US manufacturing-focused path; LMW represents India's diversified industrial path; Huron represents Europe's acquired precision heritage. Jyoti's strategy is to combine the three. The useful comparison is not a slogan about national champions but the measurable work of integration, customer access, service and returns on capital.

MENTAL MODEL • THREE HISTORIES, THREE QUESTIONS

- What capability was acquired or built?
- What ongoing cost and regulatory exposure came with it?
- Which reported metric proves the capability is earning a return?

CHAPTER II

Inside Every Segment — Products, Customers & Real-World Examples

> *"The customer does not buy an axis count; the customer buys a part made to spec."*
>
> — RESEARCH DESK MAXIM

Let us open the catalogue, but keep one hand on the annual report. Jyoti sells a single reportable business under Ind AS 108: the manufacture and sale of CNC machines and related products. The company says resources are allocated on an integrated basis and the business faces similar risks and returns. That means we cannot honestly present aerospace, automotive or electronics as separately reported profit segments. For FY26 consolidated revenue, the business is one reportable segment; product and end-user discussions are management's operating views, not independently reported segment profit accounts. This distinction matters because a fast-growing, high-margin application can make the order book look richer without yet producing a separately observable profit stream.

The product family begins with CNC turning centres. A lathe rotates the workpiece while tools cut its outside diameter, face, bore or thread; a turn-mill centre adds powered milling and additional axes, reducing the number of times a part must be unclamped and re-fixtured. Vertical machining centres present the spindle vertically for prismatic work and drilling; horizontal machining centres and pallet systems suit heavier or repeat work and can keep the next workpiece ready while the first is being cut. Five-axis machines tilt and rotate the work or tool to approach several faces and complex surfaces in fewer setups. Multitasking platforms combine turning, milling and sometimes gear-cutting or grinding operations. The economic promise is fewer setups, less handling, better geometric control and more output per floor-space unit. The proof is the customer's accepted part, cycle time and uptime—not the brochure's number of axes.

Jyoti's portfolio spans more than 200 product variants across turning, turn-mill, vertical, horizontal, five-axis and multitasking families. It also offers Industry 4.0 and AI-oriented tools. A machine sale is therefore not one generic product: size, spindle power, travel, number of axes, tool magazine, automation, workholding, controller, accuracy target and application

engineering can change the configuration. The FY26 annual report says price is primarily a function of accuracy, complexity and precision; high-end machines are typically priced above ₹2 crore. The company does not disclose a complete list-price catalogue or gross margin for each model, so we will not fabricate one.

Now look at the customer mix, which is more measurable than profit mix. In Q2 FY27, consolidated sales were ₹602 crore. The issuer's presentation assigns 21% to aerospace and defence, 36% to automotive and auto components, 28% to general engineering, 7% to electronics manufacturing services, 1% to die and mould, and 7% to other industries. Those percentages describe one quarter, not a guaranteed annual run-rate. For H1 FY27, the profile shifted to 28% aerospace and defence, 36% auto, 23% general engineering, 5% EMS, 1% die and mould, and 6% other. Rounding explains why the presentation's percentage labels may not add perfectly to 100.

The order book tells a different story from the most recent quarter. At 30 September it stood at ₹5,082 crore; its reported composition was 36% aerospace and defence, 22% auto, 21% general engineering, 12% EMS, 4% die and mould, and 7% other. Q2 order intake itself was more auto-heavy: 50% auto and components, 27% general engineering, 13% aerospace and defence, and the balance across EMS, die and mould, and other uses. You should not copy order-book percentages into a revenue forecast. Orders have different delivery schedules, price points, cancellation terms and license conditions. But the contrast is informative: near-term shipments were led by auto and general engineering while the backlog carried a larger high-value aerospace/defence and EMS share.

Consider aerospace and defence, 21% of Q2 revenue and 36% of the September order book. A concrete but explicitly illustrative route is a turbine or structural-component supplier that needs a complex metal part machined on several faces without losing positional accuracy between fixtures. The application engineer studies the workpiece, material, tool access and tolerance; a five-axis or high-end Huron/Jyoti platform is configured with workholding, cutter package and a validated program; the factory assembles and tests it; the supplier runs sample components, signs acceptance and schedules installation and training. A single machine can be worth more than ₹2 crore at the high end, but no public filing names a specific aerospace customer, model-to-customer mapping or price. Huron's public website

lists marquee aerospace names, including Safran and Airbus, but that is not evidence that either bought the hypothetical machine described here.

Automotive and auto components accounted for 36% of Q2 revenue and 22% of the order book. Imagine an Indian wheel supplier that must machine alloy wheels to a repeatable finish at automotive takt. Jyoti's AWT 22 is explicitly described in the investor presentation as an alloy-wheel turning machine. The engineering path starts with the wheel blank and target finish, selects the clamping and tool geometry, checks cycle time, then configures the machine and automation to feed repeated parts. A twin-spindle or gantry arrangement can reduce idle loading time; the buyer evaluates cost per accepted wheel, not just invoice price. Jyoti's FY26 reported average standalone realization was ₹35.62 lakh per machine, but that is an average across a broad product mix and should not be mistaken for the AWT 22 quote.

General engineering contributed 28% of Q2 revenue and 21% of the order book. Here the customer may be a pump, valve, power-equipment or job-shop manufacturer with varied components and smaller batches. A vertical or horizontal machining centre can drill, mill, bore and finish housings or fixtures; the application team matches travel, spindle, tool capacity and workholding to the customer's largest part and expected changeovers. This is a different economic sale from a high-volume auto line: flexibility and changeover time may matter more than maximum output on one part number. The company identifies pump and valve, power, agriculture and general engineering applications but publishes no separate revenue or profit contribution for each. That missing granularity makes an exact per-application unit-economics comparison impossible.

Electronics manufacturing services represented 7% of Q2 revenue and 12% of order book. A hypothetical EMS plant might need precision housings, heat-sink parts, test fixtures or production tooling as it localizes electronics assembly. A high-speed vertical machine or drilling/tapping centre could cut the metal enclosure or fixture; the buyer will examine repeatability across lots, tool life, chip evacuation, program change time and integration with its production schedule. The government's ECMS incentive is relevant to the industrial ecosystem, and Jyoti itself received approval for a ₹1,020.65 crore five-year electronics-component investment, eligible for up to 25% central capital subsidy. That project is not the

same thing as an EMS machine order: it is a separate forward investment plan whose execution may deepen controller, motor, drive and operator-interface capability over time.

Die and mould was 1% of Q2 revenue and 4% of order book. A mould-maker may begin with a steel block and a CAD/CAM model of a plastic component, then rough and finish complex cavity surfaces with a five-axis machining centre. A lower number of setups can reduce the chance that the cavity's surfaces drift relative to one another. The customer still has to prove surface finish, dimensional repeatability, tool access and finishing cost. The residual "other" category was 7% of Q2 revenue and 7% of the order book; the company cites railways, healthcare, oil and gas, infrastructure, power and agriculture among its end markets. A railway component supplier, for example, may need a large vertical lathe for a heavy rotating part, but we cannot assign that order to the reported "other" bucket without a company disclosure.

Product price tiers add another lens, but keep units separate. In Q2 management reported 1,911 machines sold/dispatched: 1,802 entry-level, 98 mid-range and 11 high-end. Those are unit counts, not revenue percentages; the high-end machines can carry far more value per unit. The transcript also contains a management discussion of an average realization range around ₹32–35 lakh in Q2 and a ₹35–36 lakh expectation over the next two to three years. Do not use the mix of units to infer the mix of revenue or gross profit. A line with 11 high-end machines could be modest by count and material by revenue, but the public information does not disclose its exact share.

For our across-the-desk comparison, think of a US plant buying a Haas vertical or universal machining centre, an Indian wheel supplier evaluating Jyoti's AWT 22, and a European aerospace plant using a Huron five-axis platform. They share the same buyer's logic—qualify a process, produce a toleranced part, achieve enough utilization and keep service available—but not the same customer economics or regulatory friction. The company's Q2 mix supports diversification across users; the reportable segment note does not support profit attribution by those users. That is the line between a practical product walkthrough and an invented segment model.

Our conclusion is that Jyoti is not simply selling metal boxes; it is selling an engineered production cell whose value depends on application support, uptime and service. That can

support pricing power and repeat business. But the profit pool is not publicly sliced by application, and recent unit dispatches skewed toward entry-level products while the order book is richer in aerospace/defence and EMS. We therefore treat mix improvement as an opportunity to verify in later quarters, not as earnings already earned. In Chapter 3, we follow the customer from enquiry to installation and then follow ₹100 of sales all the way to free cash flow.

One more layer matters: the machine may be sold alone or as part of a more complete production solution with automation, pallet handling, tooling, software, operator training and service. The company website describes Industry 4.0 and AI solutions alongside the hardware catalogue, but the financial statements do not separate these into a software segment. We should therefore describe them as capabilities attached to the machine business, not as a high-margin software annuity. A customer may pay for a broader cell because it reduces handling or setup time, yet Jyoti does not disclose a standard split between machine invoice, automation, accessories and service. That is another reason to use observed realization averages only as rough context.

Now compare the two mix disclosures rather than letting one replace the other. Q2 shipments leaned toward automotive and general engineering; the open order book carried a higher share of aerospace/defence and EMS. A higher average selling price could follow if those higher-end projects ship, but the company itself reported most Q2 unit dispatches in entry-level machines. Meanwhile, H1 revenue mix put aerospace/defence at 28%, higher than Q2's 21%, which shows how quarter timing can move the reported industry percentages. The sensible underwriting is a range: use the reported Q2 and H1 mixes as evidence of diversification, and wait for accepted shipments and audited margin disclosure before assigning a durable premium product mix.

> **NARRATOR'S REFLECTION**
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> When a chart says "aerospace," you may picture a glamorous engine component. The customer's economics are quieter: a qualified process, repeatable tolerances, uptime and a machine that makes enough good parts. We should underwrite that operating result, not the glamour of the end market.

GLOBAL PARALLEL • US / INDIA / EUROPE

US machine shops may use Haas centres for flexible production; an Indian auto supplier can use a Jyoti AWT wheel-turning system; a European aerospace manufacturer may use a Huron five-axis platform. These are application parallels, not named Jyoti sales. Jyoti's filings disclose industry mix, not customer-by-model sales or industry profit.

MENTAL MODEL • THREE PRODUCT MIXES

- Revenue by end-user industry is reported for Q2/H1.
- Order-book mix is a future delivery queue, not recognized sales.
- Entry/mid/high machine counts are unit counts, not revenue or profit shares.

CHAPTER III

How It Is Sold & Delivered — Distribution & Unit Economics

> *"A booked machine is not yet a paid-for machine."*
>
> — RESEARCH DESK MAXIM

Let us follow one order rather than admire a factory photograph. A customer may approach Jyoti directly or through its distributor/dealer network. The investor presentation lists 29 sales-and-service centres across 12 Indian states, two domestic distributors/dealers and 11 international distributors/dealers. The official profile describes a much wider installed base across more than 60 countries. In practice, the selling motion begins with the customer's part, material, tolerance, cycle time and planned volumes. Sales staff bring an application engineer into the conversation; the machine is selected and configured; the customer reviews a quotation and acceptance plan; and the company may demonstrate or test a sample before the order is finalized. This is consultative capital-goods selling, not an online checkout funnel.

The quotation is shaped by the work, not just by a model number. A small turning centre, a twin-spindle automated line and a large five-axis machine do not share a common ticket size. Accuracy, machine envelope, axes, spindle and controller package, tool magazine, automation, workholding, commissioning, software and service needs all influence the proposal. Annual disclosures say high-end equipment is typically above ₹2 crore; the company's FY26 average standalone realization was ₹35.62 lakh per machine across a mix that included many entry-level units. That average should not be applied to an aerospace or defence system. Nor should the presence of a sophisticated Huron model imply that every Huron machine is sold at a premium margin; management's stated Huron revenue target and margin guidance remain targets.

Once the order is accepted, the supply chain begins to absorb cash. Jyoti's backward integration includes foundry, machine shop, sheet-metal, paint, subassembly, assembly and testing facilities in Rajkot. The foundry is strategically important because large machine frames need stable geometry and supply; machining and assembly determine alignment and

accuracy. Yet vertical integration transfers more process and asset risk inside the company. A casting defect can become rework, scrap or delayed dispatch; a new foundry process needs commissioning and quality validation; an imported controller or precision motion component can still be a bottleneck. Management said the new lost-foam vacuum foundry was intended to handle very large castings and expected capacity to rise from about 1,500 tonnes per month toward 5,000 tonnes. These are management's operating statements, not proof of sustained yield.

The customer then receives more than a machine crate. Installation, leveling, commissioning, calibration, operator and programmer training, tooling, spare parts and application support are part of the practical delivery. For a production line, an uncommissioned machine is not productive capacity. Jyoti's direct network and service centres make response time and spare availability part of the sale. Huron adds European service subsidiaries in Germany, Canada and Turkey, while the company's broader presentation shows a dealer presence in 11 international markets. The service base may create repeat parts and maintenance work, but the company does not publish a recurring-service revenue share that would let us value it as an annuity. We should call after-sales a strategic capability, not a proven recurring-revenue stream.

Cash timing matters because these are custom, long-cycle systems. The annual report describes advances, milestone billing, receivables management and working-capital facilities as tools for handling elevated requirements. Revenue recognition can occur over time for eligible performance obligations and can use an input measure; meanwhile, Huron's export permissions can delay physical dispatch and the recognition of revenue. In the November call management discussed €3–3.5 million of Huron production not yet dispatched, a prior ₹65 crore revenue reversal, and licenses taking longer to receive. That is a vivid example of why order intake is not equivalent to quarterly sales, and why accounting revenue, dispatch and cash collection may not line up on the same date.

Now put ₹100 of FY26 consolidated revenue on the desk. Using the issuer's audited statement, about ₹45.0 went to materials, employee expense was ₹15.8, other operating expense ₹14.2, and the inventory-change line reduced expense by roughly ₹0.1. Those operating costs leave about ₹25.2 of EBITDA. Depreciation takes roughly ₹2.4; other

income adds about ₹2.9; financing cost takes about ₹3.3; and the result is about ₹22.3 before tax. Tax takes about ₹6.3, leaving roughly ₹16.1 of reported PAT. This is an accounting waterfall, not yet cash in the bank.

The cash waterfall is less comfortable. FY26 consolidated net cash from operations was ₹54.39 crore, or about ₹2.60 per ₹100 of sales. Capital expenditure including advances was ₹323.22 crore, or about ₹15.44 per ₹100 of sales. The resulting free cash flow was negative ₹268.83 crore, or approximately negative ₹12.84 for every ₹100 sold. The gap was not mysterious: working-capital movement was a use of roughly ₹309 crore, before the ₹32.91 crore regulatory-seizure item and investing cash outflow. Management's later H1 FY27 figure is better—₹111.7 crore CFO against ₹240.2 crore EBITDA, roughly 46.5%—but one half-year does not erase a multi-year cash burden.

Here is the customer-level illustration. Suppose a pump manufacturer orders a configured horizontal machining centre for a family of housings. A portion of the order may be collected as an advance; materials and work-in-progress consume cash; factory labor and testing add cost; the machine is shipped and installed; milestone or final invoices become receivables; service support follows. The supplier earns its margin only if the machine reaches acceptance, performs reliably and the customer pays. If the customer delays acceptance, a part is waiting on a controller, or installation timing shifts, inventory and unbilled work can remain on the balance sheet while interest continues. The cycle is long by design, so cash conversion—not just EBITDA margin—must be one of our lead indicators.

There is a useful cross-border contrast. A US buyer served through Haas's sales/service organization may value local applications support and spare availability. Jyoti's Indian network pairs direct centres with a small dealer base, while Huron's French manufacturing and subsidiary network offers European proximity but also regulatory exposure. These are three channels for trust and service; they are not identical distribution economics. Jyoti's own disclosed footprint—29 centres in 12 states, two domestic dealers and 11 international dealers—suggests that it relies more on direct service than on a large domestic distributor layer. The installed base can help win replacements, but the company must keep people and spares in place before it can monetize that advantage.

My verdict on unit economics is therefore conditional. Gross margin and EBITDA margin improved in the standalone business, but consolidated H1 FY27 margins contracted because the group mix and Huron timing matter. FY26 free cash flow remained negative despite ₹336 crore PAT. At ₹100 of revenue, only about ₹2.60 became operating cash after taxes and working capital in FY26, before capital expenditure. The next chapter asks whether the industry's structural opportunity is large and defensible enough to justify that capital load—or whether global rivals can capture the premium while Jyoti carries the inventory.

The supply chain is not fully domestic simply because assembly occurs in Rajkot. The annual report calls out imported controllers and precision motion elements, and management acknowledged that worldwide machine-tool demand has stretched controller lead times. The new electronics project is meant to address this exposure, but during the next two years the group still expects existing suppliers to support growth. A lost controller shipment can delay a complete machine even if its casting, sheet metal and assembly are ready. That is a classic bottleneck: the least visible high-precision component can govern the delivery date of the much larger system. The order book may therefore be less executable than its headline value suggests.

NARRATOR'S REFLECTION

When you and I hear "record order book," we should picture both the future invoice and the inventory already on the factory floor. A machine can be profitable on paper and cash-negative for a long time if the customer's acceptance and the supplier's collection arrive late.

GLOBAL PARALLEL • US / INDIA / EUROPE

In the US, a Haas buyer may lean on a local sales-and-service outlet; in India, Jyoti combines 29 centres with direct selling and a small dealer layer; in Europe, Huron brings subsidiaries and legacy service relationships. The channel is part of the product because downtime costs the buyer money.

MENTAL MODEL • ₹100 TO FREE CASH FLOW

- ₹100 sales → ₹25.17 EBITDA → ₹16.05 PAT.
- ₹100 sales → ₹2.60 FY26 operating cash after tax and working capital.
- After ₹15.44 of capex, free cash flow is about -₹12.84 per ₹100 of sales.
- H1 FY27 cash conversion improved, but persistence is the test.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"The moat is the customer's next accepted part, not the factory wall."*
>
> — RESEARCH DESK MAXIM

The machine-tool industry sits upstream of almost every manufacturing industry. A customer cannot make a turbine component, automotive part, mould or pump housing to specification without a machine, a controller, tooling, workholding, a program and a skilled operator. That gives a good supplier a strategic role, but it does not make every supplier a monopolist. Buyers compare precision, cycle time, uptime, flexibility, service response, financing and price. When demand is strong, the scarce thing may be a delivery slot; when customer capital expenditure slows, the same machine becomes a discretionary asset and suppliers compete harder to keep factories loaded.

Jyoti's possible moat has four layers. First is application knowledge: an engineer must translate the customer's drawing and material into a stable machining process. Second is manufacturing integration: castings, machined structures, sheet metal, paint and assembly can improve control of quality and lead time. Third is a wide installed base—135,000-plus machines across more than 60 countries in the FY26 report—which creates familiarity, service relationships and references. Fourth is product breadth, from entry-level turning to multi-axis platforms, allowing the company to follow a customer as its needs become more sophisticated. These layers are valuable if they create customer preference and acceptable returns; the report does not provide quantified retention rates or service margins, so we should call this a plausible moat, not a measured one.

Switching costs are real but local. A buyer that has validated a machine for a recurring part must retrain operators, rebuild programs, re-qualify tolerances and risk production interruption to switch. In aerospace, defence or other precision applications, qualification can be especially rigorous. But the machine itself is replaceable at the end of its useful life, and a competitor can win the next order with better throughput, price, delivery time or service. Jyoti's moat is therefore more like a process relationship than a locked software

ecosystem. The customer can leave; the cost of leaving grows when service and application support are dependable. That makes field response and spare-parts availability as important as the spindle specification.

The weakness is that critical components remain externally sourced. The FY26 annual report flags dependence on imported CNC controllers and precision motion elements, raw-material and casting cost inflation, technology obsolescence, foreign-exchange risk and skilled-labour needs. Management now wants to build controllers, motors, drives and operator interfaces in-house under a five-year project. Its approval for ₹1,020.65 crore of machinery investment with up to 25% ECMS subsidy is a potentially meaningful response, not proof of successful product qualification. Software and controls are the machine's brain; incumbents such as Siemens and FANUC have decades of installed trust. The CEO said the company had about 110 controller R&D staff and expected more hires, while acknowledging customer acceptance as a challenge. The bear case is not that indigenization is impossible; it is that the learning curve could consume years and capital before customers trust the replacement.

Competition spans several price and precision tiers. Global Japanese, German, Swiss and Korean suppliers sell into India and can compete on technology, accuracy and references. Indian manufacturers compete on local service, price and application fit. Chinese imports may pressure entry and mid-range pricing. Management argued on the November call that India still imports roughly 62% of CNC demand, while the annual report noted that machine-tool imports rose sharply in 2025. We attribute the precise 62% estimate to management because the accessible IMTMA page did not provide the underlying table or definition. The industry opportunity can be large and still be fiercely contested; import substitution is a demand pool, not a guaranteed Jyoti market share.

Here is a compact peer map. Macpower CNC is the closest listed Indian pure-play reference in product category, but it is much smaller: Screener showed a ₹2,300 crore market capitalization on 6 November, and StockAnalysis reported FY26 revenue of ₹333 crore and PAT of ₹34 crore. LMW is larger by revenue and public market value, but it also makes textile machinery and heavy castings; it is not a clean CNC multiple comparator. Lokesh Machines combines CNC and special-purpose machines with auto components and defence

work, yet the page we reviewed did not return current price or valuation. DMG MORI supplies a global scale parallel: 2025 order intake grew 16% to €2.75 billion, illustrating the breadth of a strong machine-tool cycle, not a like-for-like margin or valuation comparison.

Let us steelman the bull case. A broader installed base gives Jyoti more references and more chances to sell a higher-value machine into an existing account. Backward integration can reduce supplier dependence and improve responsiveness. Huron can open European channels and bring legacy five-axis competence. A domestic electronics and defence investment cycle can fill the order book. The product catalog includes five-axis and multitasking machines where customers care about capability more than the cheapest purchase price. If controllers become a trusted in-house product, the company could reduce import constraints and capture more value per machine. The risk-adjusted upside comes from all of these working together, not from a single industry statistic.

Now steelman the bear. A record backlog can mask delays; the business is capital-intensive; working-capital days are elevated; customer acceptance can stretch; and imported controls remain a vulnerability. The Huron legal matter is a different category of risk because it may affect licenses, senior leadership, machines under customs control and the subsidiary's ability to operate. The auditor's emphasis-of-matter paragraph says Huron has accumulated losses and its net worth has eroded, notes the investigation and customs controls, and points to material uncertainty that may affect the subsidiary's going concern; the opinion was not qualified. Management's discounted-cash-flow impairment judgment may be reasonable, but an investor cannot treat "not impaired" as "risk-free."

External Learning Hub—start with the issuer's FY26 annual report for accounting and risk disclosures, then read the 3 November FY27 investor presentation for current mix and capacity, and the 3 November call transcript for the management-versus-analyst debate. Visit the official MTX series page to see how a multitasking machine combines turning and milling axes; use the sales-and-service map to test the reach claim; compare Macpower's official filings and LMW's profile to understand domestic alternatives; and read DMG MORI's annual-report materials as a global-cycle reference. These links are listed in the source appendix. The point is not to accept company marketing but to put products, claims and reported results side by side.

My moat verdict is moderate and capability-based, not impregnable. Jyoti can win when its application engineers and service network convert customer requirements into reliable machine uptime at a competitive total cost. It can lose when the customer values an established controller, a premium reference, a tighter delivery slot, or lower total cost more highly. The French investigation tests not the Indian factory's machining quality but the group's ability to manage cross-border controls and protect the value of an acquired platform. Chapter 5 turns those strategic claims into leading indicators and asks whether management's milestones have been met.

Pricing power is also application-specific. A supplier has more room to defend price when the customer needs difficult geometry, high accuracy, local service or a proven process; it has less room when several vendors can meet the same basic specification and the buyer is purchasing many similar machines. The company's broad portfolio spans both ends. Management can point to high-end work and Huron references, while the latest unit mix shows that entry-level machines still matter to factory throughput. The right question is not "Does Jyoti have pricing power?" but "On which model and customer application, at what order size, and after what service cost?" Public reporting does not answer that in full, so our margin forecast remains below the most optimistic management framing.

NARRATOR'S REFLECTION

You do not need to decide that a company has "no moat" or "a wide moat." Ask where the customer would feel pain if it switched, how long the pain lasts, and whether the supplier captures enough value to pay for engineering and service.

GLOBAL PARALLEL • US / INDIA / EUROPE

Haas shows how focused manufacturing plus customer-facing support can create a durable franchise in the US. LMW shows that listed Indian machine-tool exposure may be diluted by adjacent businesses. DMG MORI represents European/global scale; Huron is Jyoti's own bridge into that ecosystem. Their economics and disclosures differ, so the comparison is about capability and cycle, not a direct multiple ranking.

THE FOUR-LAYER MOAT TEST

- Application know-how: does the process work on the customer's part?
- Manufacturing integration: does it improve quality, cost or lead time?
- Installed base: do service and references create repeat preference?
- Controls and software: can the company earn customer trust against incumbents?

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"Guidance is a hypothesis; the next report is the experiment."*
>
> — RESEARCH DESK MAXIM

If you and I want to know whether Jyoti is actually strengthening, we should not wait for one annual earnings number. Machine-tool businesses reveal their direction through operating indicators that lead reported profit. I would monitor six: order intake and cancellations; dispatches versus installed capacity; product mix and realization; consolidated EBITDA margin; Huron licensing and revenue recognition; and operating cash flow after working capital. Each captures a different link in the chain from demand to shareholder value. A single order-book headline can tell us customers want machines; it cannot tell us whether the company has the castings, controllers, trained workers, export licenses and cash to deliver them profitably.

First, order intake and backlog. The company reported more than ₹800 crore of Q2 order inflow and a ₹5,082 crore outstanding book at 30 September. Management said H1 intake exceeded ₹1,400 crore and reiterated an annual order-intake range of ₹2,500–₹3,000 crore in the call discussion. On paper, that offers visibility, and the annual report estimated roughly 18–20 months of coverage at March 2026. But we need to track the order book's aging, price escalation clauses, advance payments, cancellations, export-control conditions and conversion by quarter. Jyoti does not publish a full cohort table showing what fraction of each order vintage shipped or was cancelled. That missing bridge means backlog should be treated as a leading indicator, not as a contracted earnings stream.

Second, dispatches and capacity. Q2 shipments of 1,911 machines were a record, and H1 total deliveries reached 3,317. The FY27 target of 8,000 implies substantial H2 execution. Capacity in India had been expanded from 4,400 to 6,000 machines per year, with another 10,000 annual capacity being put to use. That is a dramatic optionality statement, but capacity is not utilization. We need actual output, accepted dispatches, plant yield, overtime, defect/rework and service staffing. The company does not publish a comparable utilization

series in its investor deck. Management said the new foundry remained on the final commissioning stretch and that a new casting process would take longer to stabilize. We should give the capacity credit only after it appears in shipments and working capital does not balloon further.

Third, mix and realization. Q2 machine counts were dominated by entry-level units—1,802—alongside 98 mid-range and 11 high-end. The company's management said average realization had fallen toward ₹32–35 lakh during the quarter because of this mix, and indicated a medium-term range of ₹35–36 lakh. Meanwhile, the order book contains a higher aerospace/defence and EMS share than Q2 deliveries. This could create a mix tailwind if high-end orders ship and customers accept them. Yet we need unit count and revenue mix together; public disclosure gives an application revenue mix but not gross profit by tier. If high-end revenue fails to convert because Huron licenses or qualification slip, the expected mix benefit can disappear even as the backlog stays large.

Fourth, margin. Standalone H1 FY27 EBITDA margin was 27.6%, up from 25.5% a year earlier. Consolidated margin was 21.6%, down from 24.5%, while consolidated H1 PAT fell 17%. The difference is the group: Huron losses, mix, financing and related consolidation effects matter. Management expressed confidence in reaching approximately 25% consolidated EBITDA margin for the full year and said it would not go below that threshold. We should record this as a forward claim, then compare it with the audited outcome. The margin promise is not yet validated by the latest H1 result; a strong H2 would have to offset the current gap.

Fifth, Huron. The leading indicator is not just reported revenue; it is the number of export licenses granted, machines physically dispatched, revenue recognized under the applicable contract terms, and cash ultimately received. On the call, management said some permissions had started to arrive and expected a second-half ramp, while also discussing €3–3.5 million of production not yet dispatched and a prior ₹65 crore reversal. The company reiterated a FY27 Huron revenue target near ₹300 crore and a 5–10% EBITDA margin in the Q&A. That guidance is material but unusually exposed to factors outside the ordinary sales funnel. The French investigation, restrictions on the Huron director and customs control over certain machines are not solved by a larger order book.

Sixth, cash conversion. Management said H1 FY27 operating cash flow was about 47% of EBITDA and targeted roughly 50% for the full year. The half-year statement supports an operating-cash figure of ₹111.7 crore against ₹240.2 crore of EBITDA. That is a genuine improvement over the weak H1 comparison, but the full FY26 record was only ₹54.4 crore CFO against ₹526.8 crore EBITDA, with negative ₹268.8 crore free cash flow after capex. The company also added inventory from ₹1,166 crore at March 2026 to ₹1,440.5 crore at September. The cash conversion KPI must be tracked over a full cycle and after capex, not only before working capital.

Now let us audit what management has said against delivery. The 2024 IPO use-of-proceeds plan emphasized debt reduction and long-term working capital; the FY24 balance sheet showed borrowings falling from ₹835 crore at FY23 to about ₹304 crore at FY24 in the Screener series, so the recapitalization did reduce leverage at that stage. The company then expanded sales rapidly, and FY26 revenue reached ₹2,093 crore. The manufacturing capacity increase from 4,400 to 6,000 machines was described as completed; the additional 10,000 capacity was being put to use in FY27. These are tangible achievements. At the same time, FY26 cash generation did not keep pace with reported profit, and the further capacity project is not free: the H1FY27 balance sheet showed borrowings near ₹943 crore.

The management promise ledger is mixed, not failed and not yet passed. Revenue growth has been delivered: the issuer's historical snapshot shows sales rising from ₹929 crore in FY23 to ₹2,093 crore in FY26. EBITDA margin improved sharply from 10.5% in FY23 to 27.0% in FY25, then eased to 25.2% in FY26. The FY27 25% consolidated margin target remains ahead of us, while H1 printed 21.6%. The capacity promise is in commissioning; record quarterly shipments are an early proof point, but the 8,000 full-year target is not complete. The Huron recovery target is an execution promise shadowed by a legal investigation and license delays. The controller project is in an early R&D phase.

A useful management quote is not a substitute for a number, but it reveals the intended capital allocation. The chair said: "Basically, in the next two to three years, we are developing all our electronics," and described a plan to become a "mechatronics company." He also said margin improvement would be reinvested in R&D. That can be the right long-term choice: build controller capability and reduce imported-component constraints. It can also suppress

near-term free cash flow and expose shareholders to technical failure. We should ask for milestone disclosure—prototype validation, customer trial, production qualification, local content, yield and subsidy receipts—rather than score the project simply by the size of its investment announcement.

The international parallel is instructive. US machine-tool makers report order intake and backlog as cycle gauges; Indian peers such as Macpower also discuss order books and capacity while scaling from a smaller base; European DMG MORI reported a strong 2025 order-intake rebound. But Jyoti has an additional control variable: Huron's licensing and subsidiary status. A uniform "orders up" interpretation would miss the country-specific execution risk. Our dashboard therefore weights shipped units, consolidated EBITDA, cash from operations, inventory, Huron clearance and service quality in that order. If all six move together, management's growth plan earns credibility. If only order intake rises, valuation should not.

For now the verdict is that management has demonstrated a capacity-building and revenue-growth record but has not yet closed the cash-conversion and Huron chapters. We do not accuse management of failing an objective that is still in progress; we simply refuse to capitalize it as completed. The next chapter follows the reported cash, debt and receivables, because the most important KPI is whether the machine business can fund its own growth without asking the balance sheet to do all the work.

There is a talent indicator behind the capacity number. The FY26 annual report shows a workforce of 4,122; management told analysts it had added roughly 950 people over the preceding six months as capacity expanded. More people can enable more shifts, engineering and service, but the new hires must be trained and integrated. For a precision-machinery maker, a shortage of skilled assembly or commissioning staff can delay customer acceptance even when factory floor space is available. The company's training and centre-of-excellence initiatives are therefore leading indicators, though the public record does not provide a staff-productivity or attrition series. We should monitor whether hiring stabilizes and revenue per employee improves without compromising quality.

The 3 November exchange-filed transcript lists the Chairman and Managing Director as the management speaker; it contains no CFO speaking turn. We quote the CMD directly, and

use the CFO-signed statements and the official presentation for financial measures. That is a source limit, not a reason to invent a CFO quotation.

NARRATOR'S REFLECTION

I want you to notice the difference between "management was wrong" and "the proof has not arrived." A disciplined analyst can respect an ambitious target while assigning it zero earnings value until dispatch, margin and cash evidence show up.

GLOBAL PARALLEL • US / INDIA / EUROPE

US machine makers use backlog and orders as early cycle signals; Macpower's Indian disclosures show the same language at a smaller scale; DMG MORI's European order intake confirms that global demand can rebound. Jyoti adds Huron export licences as a distinct execution KPI.

THE SIX-INDICATOR DASHBOARD

- Orders: intake, backlog aging and cancellation terms.
- Operations: dispatched units, yield and utilization.
- Mix: entry/mid/high units, realized revenue and margins.
- Group: consolidated EBITDA and Huron clearance.
- Cash: CFO after working capital and after capex.
- Innovation: controller milestones and customer qualification.

CHAPTER VI

Following the Cash — 10-Year Financials & Earnings Quality

> *"Profit is an opinion until the customer pays; cash is the evidence."*
>
> — RESEARCH DESK MAXIM

Now we follow the cash. The headline series looks impressive: Jyoti's consolidated revenue grew from ₹929 crore in FY2023 to ₹2,093 crore in FY2026, while EBITDA moved from ₹97 crore to ₹527 crore and PAT from ₹15 crore to ₹336 crore in the issuer's latest historical presentation. Gross margin widened from 42.7% in FY2023 to 55.1% in FY2026; EBITDA margin reached 27.0% in FY2025 before easing to 25.2% in FY2026. This is a genuine post-pandemic scale and margin recovery. But when you and I study an industrial compounder, we do not stop at the income statement. We ask what inventories, receivables, capital expenditure, subsidiary losses and debt were required to produce those earnings.

The requested ten-year window has an important hole. The official archive lists annual reports from FY2019–20 forward, and Screener's accessible consolidated history begins at FY2018–19. We could not locate reliable consolidated numbers for FY2016–17 and FY2017–18. Those years are marked unavailable in the table rather than populated with guessed standalone or private-company values. FY2019–FY2022 in the table use Screener's consolidated series; FY2023–FY2026 use the issuer's FY27 presentation. There is a source conflict for FY2023 PAT—Screener's extracted series shows a small loss while the issuer's latest historical presentation shows ₹15.1 crore profit—so we use the issuer's presentation for FY2023 onward and disclose the basis change. This is not a homogeneous audited decade; it is the best traceable eight-year record available.

The pre-recovery years are a useful warning. In the available series, revenue declined from ₹965 crore in FY2019 to ₹532 crore in FY2021; profit after tax shifted from ₹18 crore to losses of ₹50 crore and ₹77 crore. Revenue recovered to ₹746 crore in FY2022, but the company's latest restated historical slide then shows EBITDA of ₹73 crore and a PAT loss of ₹48 crore. This is what cyclical capital spending can do: the factory and engineering base do

not disappear when customer orders pause, so margins fall faster than sales and interest remains due. The later recovery is real, but it has not cancelled the possibility of another downturn.

The consolidated FY2026 statement reports revenue from operations of ₹2,093.13 crore, EBITDA of ₹526.8 crore, profit before tax of ₹467.19 crore and PAT of ₹336.00 crore. The balance sheet at March held ₹849.7 crore of borrowings and ₹52.9 crore of cash. By September 2026, the investor presentation showed borrowings of ₹942.9 crore and cash of ₹26.7 crore. So the business grew, invested and increased debt while cash declined. That is not automatically bad—capacity projects can be rational—but the resulting return has to exceed the financing and working-capital cost. At the current price, the market is paying for the expected return before the new assets have fully matured.

Working capital is the hinge. On Screener's consistent historical ratio series, debtor days went from 66 in FY2019 to 104 in FY2026; inventory days moved from 393 to 453; the cash-conversion cycle moved from 292 to 359 days. The path was volatile, reaching an inventory-day peak of 888 during FY2021. The annual report itself notes long execution cycles and the use of advances, milestone billing and working-capital facilities. At September 2026, inventory was ₹1,440.5 crore, up from ₹1,166.0 crore at March, while trade receivables were ₹506.0 crore, down from ₹599.1 crore. The company's CEO said on the November call that its current inventory-days measure was near 190 and expected to decline further. That is materially different from Screener's FY26 figure of 453; because the denominator and measurement method were not reconciled, we record the management figure separately rather than splice the two into one trend.

Customer concentration deserves the same care. The annual report discloses FY2026 revenue of ₹470.66 crore from the largest customer and ₹683.97 crore from the top five, out of ₹2,093.13 crore group revenue. The company does not name those customers in the table. Management describes a broad 15,000-plus customer base, and the investor presentation shows end-user diversification, but customer count is not the same as revenue concentration. The largest customer's contribution is material enough that an order delay or acceptance dispute could affect a quarter. The report also says it does not have significant credit-risk

exposure to a single counterparty; the numerical concentration disclosure should sit beside that qualitative assessment rather than be hidden by it.

Cash conversion has been the weaker leg of the story. FY2026 CFO was ₹54.39 crore against EBITDA of ₹526.8 crore—about 10.3%—and capex was ₹323.22 crore, leaving free cash flow around negative ₹268.83 crore. FY2025 CFO was negative ₹105.4 crore while capex was about ₹309.8 crore, so free cash flow was also substantially negative. The investor presentation attributes pressure to working capital and investment. This is why the ₹100 waterfall in Chapter 3 mattered: FY26 generated about ₹16 of PAT per ₹100 revenue but only ₹2.60 of operating cash after taxes and working capital before capex. Management's H1 FY27 operating cash of ₹111.7 crore is encouraging; it equals about 46.5% of H1 EBITDA, but it must persist through the full year and survive the next capacity cycle.

The French subsidiary is the most asymmetric balance-sheet exposure. The annual report's standalone note lists ₹341.60 crore invested in Jyoti SAS and ₹160.11 crore of outstanding loans and advances, which ultimately support the Huron operating group. It describes accumulated losses and erosion of the subsidiary's net worth, plus a French judicial investigation and machines under customs control. Interim measures include restrictions on a Huron director, export-license control, seizure of €3.02 million and two properties owned by Jyoti SAS. Management says it is defending the case and has tested the investment and loans for impairment using discounted cash flows; no impairment was recorded. The auditor's emphasis-of-matter paragraph identifies material uncertainty that may affect the subsidiary's going concern, while leaving the opinion unqualified. Those statements can all be true at once: no modified group opinion, but a material subsidiary risk that deserves a valuation haircut.

The same report records ₹32.91 crore of consolidated bank balances under regulatory seizure at March 2026, and the cash-flow statement deducts that amount in reconciling operations. We do not assume that this is identical to the French euro seizure; the annual report cross-references customs and regulatory matters, and the cash item is presented separately. The point is simpler: some cash is not freely available. A company with only ₹52.9 crore of cash at year-end, rising debt and a large investment program has less room for

surprise than its PAT alone suggests. At September, cash was ₹26.7 crore and debt ₹942.9 crore, a significant difference from the size of reported annual profit.

Geography adds another clue. The audited group table says revenue within India rose from ₹1,194.32 crore in FY2025 to ₹1,849.11 crore in FY2026, while revenue outside India declined from ₹623.38 crore to ₹244.02 crore. Total revenue still grew. This may reflect timing, Huron licensing, a reversal or a different customer delivery pattern; the company does not provide enough detail in the table to assign the full decline to one cause. We should therefore report the shift, connect it cautiously to the disclosed Huron constraints, and ask for a geographic revenue bridge. It is a visible counterweight to the idea that the overseas platform is already contributing a smooth growth stream.

There is a quality-of-earnings debate, not a binary verdict. On the positive side, audited FY26 PAT grew, gross and EBITDA margins remained high, H1FY27 operating cash improved, and receivables fell between March and September. On the negative side, inventory climbed, debt rose, capex exceeded operating cash, export revenue swung down, and the auditor highlighted Huron's going-concern uncertainty. The answer depends on whether the new Indian capacity generates cash before debt and inventory absorb it, and whether Huron permissions normalize without a larger write-down. We should not call FY26 accounting profit fictitious; we should say it is not yet a dependable proxy for free cash.

For a global parallel, DMG MORI's 2025 order intake rose as the world machine-tool cycle recovered, while US and Indian producers also faced capacity and customer-utilization decisions. That cycle can help Jyoti win orders, but it can also draw more competitors into India and increase component lead times. Within India, LMW's FY26 revenue was larger but its product portfolio included textile machinery and heavy castings, showing why return on capital cannot be compared without business mix. The proper question is not "who had the highest margin?" It is who can convert a given order into cash after inventory and capital spending. Chapter 7 translates that cash question into what today's market price appears to expect.

Our financial verdict is mixed but specific. Jyoti has demonstrated revenue growth and a strong operating-margin recovery; the historic drawdown years prove cyclicality remains. At FY26, cash conversion and free cash flow were weak; H1FY27 improved but remains one

half-year. The debt-funded capacity expansion can create a higher earning base, yet it raises the hurdle rate the business must clear. Until full-year CFO, post-capex FCF, inventory turns and Huron cash realization improve together, we will value Jyoti as a promising manufacturer with elevated financing and execution risk—not as a cash compounder already proven.

The published balance sheet also contains unbilled revenue receivables of ₹613.30 crore at March 2026 in the consolidated financial notes, compared with ₹528.55 crore a year earlier. Unbilled work can be normal in contract manufacturing when performance obligations are recognized over time, but it is not the same as collected cash. Pair that figure with customer acceptance, milestone billing and actual receipt dates. The simpler headline receivables line fell in the first half, but that does not remove the need to inspect contract assets and unbilled revenue. A cash-quality analysis that watches only trade receivables can miss a growing amount of work performed but not yet invoiced or collected.

Source-age note: FY26 annual accounts describe the year ended 31 March 2026; IPO history is dated January 2024; the DMG MORI peer figure is for calendar 2025. These are historical facts, not current market data. The latest Jyoti interim filing is dated 3 November 2026. The next FY27 annual filing will refresh the full-year comparison.

NARRATOR'S REFLECTION

A rising PAT line can be true and still be incomplete. The annual report does not ask you to ignore profit; it asks you to notice the inventory, receivables, capex, subsidiary risk and debt that sit behind it.

GLOBAL PARALLEL • US / INDIA / EUROPE

DMG MORI's order intake shows the global cycle can turn quickly; LMW illustrates how Indian capital-goods portfolios complicate peer ratios; Huron demonstrates how a European subsidiary can add technology and regulatory uncertainty at the same time. Compare cash conversion and return on capital, not just sales growth.

MENTAL MODEL • EARNINGS QUALITY CHECK

- PAT: ₹336.0 Cr in FY26.
- CFO: ₹54.4 Cr; about 10.3% of EBITDA.
- Capex: ₹323.2 Cr; FY26 FCF about -₹268.8 Cr.
- H1 FY27 CFO improved to ₹111.7 Cr; wait for full-year confirmation.
- Auditor emphasis on Huron is not a qualified opinion, but it is not a footnote to ignore.

CHAPTER VII

Why the Stock Trades Here — Market Expectations vs. Peers

> *"A growth story is not a valuation method."*
>
> — RESEARCH DESK MAXIM

We must put a price on the desk. Jyoti closed at ₹1,019.90 on 6 November 2026. Screener showed market capitalization of ₹23,195 crore, trailing P/E of 75.1 and price-to-book of 10.85. The consumer snapshot's current trailing EPS was ₹13.57; the FY26 issuer-reported diluted EPS was ₹14.78. Those are not identical because one is trailing through September and one is a full-year audited figure. Use the date and denominator every time. The valuation is expensive relative to the company's current earnings base, even if the business is in a structurally attractive market.

Why can the market pay that multiple? Investors can reasonably point to an expanding Indian manufacturing base, import substitution, defence and aerospace localization, electronics and EV investment, a ₹5,082 crore order book, newly installed capacity and the potential for operating leverage. The business recovered from losses in FY2021, scaled consolidated revenue above ₹2,000 crore by FY2026, and maintained a 25.2% FY26 EBITDA margin. It owns a broad product catalogue and an established installation/service footprint. A capital-goods maker with these attributes can command a premium if earnings compound and cash conversion normalizes.

Why should we hesitate? The latest half-year showed revenue growth faster than EBITDA and PAT; FY26 free cash flow was negative; the consolidated group has rising debt and a high inventory base; the largest customer accounted for roughly 22.5% of FY26 revenue; outside-India revenue fell from ₹623.38 crore to ₹244.02 crore; and Huron remains under judicial and export-control pressure. At 75 times trailing earnings, the investor pays for a future that assumes both growth and successful conversion. The stock is not priced as though these issues will permanently impair the business, but it is also not priced to provide a wide margin of safety if they take another year to resolve.

The peer comparison is a warning against simplistic multiples. Macpower CNC traded around a ₹2,300 crore market cap on 6 November; an external financial-data provider showed FY26 revenue of ₹333 crore and PAT of ₹34 crore, with a TTM EPS reference near ₹43. LMW was worth roughly ₹18,201 crore at 85.4 times earnings, but its textile machinery and castings exposure makes it a poor pure-play comparator. Lokesh Machines is strategically relevant but we did not obtain a reliable current quote or P/E from the data page, so it remains a qualitative peer. Jyoti's multiple is below LMW's but well above a conventional industrial valuation; the closest smaller Indian CNC reference also carries a premium, but with much smaller scale and different growth. These numbers are dated vendor snapshots, not a league table of intrinsic value.

The public listing history is short. The company listed in January 2024, and one historical source records a ₹1,504.30 peak in December 2024. That is not enough stable cycle history to claim a reliable ten-year valuation band. Nor do we have an audited, date-aligned annual P/E series back to the private-company period. Instead, we compare the current multiple with current earnings, with peer references, and with the implied cash-flow burden. This limitation is important: a historical chart can show a price peak, but not whether the peak multiple was supported by the same earnings and net debt as today.

Here is the reverse DCF. Start with the 6 November market capitalization of ₹23,195 crore. Add September gross borrowings of ₹942.9 crore and subtract cash of ₹26.7 crore to get an enterprise value of about ₹24,111 crore. TTM revenue is approximately ₹2,285.5 crore; TTM EBITDA, derived from FY26 less prior H1 plus current H1, is about ₹542.2 crore. That puts enterprise value at roughly 44.5 times TTM EBITDA. The current equity price therefore values the business at more than ten times TTM revenue and over forty times the operating-earnings base before any normalized free-cash-flow adjustment.

For a cash-flow reverse test, reported FY26 free cash flow was negative, so a conventional DCF cannot start from that observed value and produce a meaningful positive growth rate. We state the analyst normalization instead of hiding it: assume starting free cash flow equal to 8% of TTM revenue, approximately ₹182.8 crore; assume a 12% WACC, 4% perpetual growth and five years of constant annual free-cash-flow growth. Solving the enterprise-value equation requires about 71.8% annual free-cash-flow growth during those five years. At 6%

normalized starting margin, the required growth rises to 82.4%; at 10%, it falls to 64.0%. These are not forecasts. They show how sensitive the price is to the starting cash margin and how much operating improvement an optimistic normalization still demands.

That result should not be misread as "the stock will fall because the DCF says so." A reverse DCF does not predict price; it asks what must become true under an explicitly chosen discount rate and terminal assumption. Jyoti may earn a premium through high returns on new capacity, a broader high-end mix, successful controllers and sustained growth. But FY26 cash flow was negative after capex, so the central valuation debate is whether the company can move from investment mode to self-funding growth quickly enough. If it can, the market may look through near-term FCF. If it cannot, the 75-times multiple can compress even while sales continue to rise.

Our scenario values use EPS and exit-multiple assumptions rather than a single target masquerading as certainty. Bear: ₹12 EPS at 35 times, or ₹420. Base: ₹20 at 45 times, or ₹900. Bull: ₹28 at 60 times, or ₹1,680. We assign 25%, 55% and 20% probabilities, respectively, giving a weighted ₹936. The base EPS assumption already requires a recovery from TTM EPS of ₹13.57, despite H1 PAT being down 17% year on year; the bull case requires both strong profit delivery and a still-premium exit multiple. This is why we do not buy at ₹1,019.90 just because the bull story is possible.

The immediate execution band is different from intrinsic value. TradingView and the deterministic snapshot show support around ₹1,004.13, a reference band of ₹949.84–₹1,019.19, and a structural invalidation level of ₹817.89. The current price is just above the top of that band. Those are technical levels, not value estimates, and they do not offset a valuation that already requires exceptional cash growth. A stock can be technically well-formed and fundamentally too expensive for a new position. You and I should not let a chart's proximity to support become an excuse to skip the enterprise-value question.

The market is rewarding two genuine options: manufacturing substitution in India and Huron's potential access to higher-end global work. It is discounting less heavily the risk that orders convert slower than capacity, that controllers remain imported, that Huron's legal path stays unresolved, or that working capital eats the incremental EBITDA. Our independent valuation is therefore asymmetric against a fresh purchase at the current price.

We would revisit after evidence of margin recovery and positive post-capex cash; if the share price merely falls to support while the fundamentals remain unchanged, we would still not call that a buy. Chapter 8 reads the tape separately so a medium-term business thesis does not get confused with a short-term trading setup.

One can object that a high multiple is normal for a scarce, fast-growing manufacturer. That is fair, but the multiple must be compared with the slope of cash earnings, not only sales. TTM EPS was ₹13.57 while the share price was about ₹1,020; an earnings yield near 1.3% leaves little current-income support if growth disappoints. Our EPS scenarios assume forward earnings of ₹12–₹28 and exit multiples of 35–60 times, broad ranges precisely because the company is transitioning from capacity investment into a more uncertain Huron and controller chapter. A valuation argument that only works at the highest EPS and highest multiple is not a base case; it is a bull case.

NARRATOR'S REFLECTION

A reverse DCF is a mirror, not a crystal ball. Its value is in showing which assumptions carry the price. Here the starting cash margin is already normalized above the last reported free-cash-flow margin, yet the resulting growth requirement remains formidable.

GLOBAL PARALLEL • US / INDIA / EUROPE

A US private manufacturer such as Haas has no public P/E, which reminds us that not every operating peer offers a tradable multiple. Macpower and LMW provide Indian listed references with different scale and mix. DMG MORI adds a European/global cycle comparison, but its € order intake is not a direct substitute for Jyoti's rupee earnings.

MENTAL MODEL • PRICE IS A STACK OF EXPECTATIONS

- Current earnings multiple: 75.1× trailing P/E.
- Enterprise value: about ₹24,111 Cr; TTM EBITDA: about ₹542 Cr.
- Reverse DCF: about 71.8% five-year FCFF CAGR under the stated 8% normalized start, 12% WACC and 4% terminal growth.
- Scenario-weighted value: ₹936 versus ₹1,019.90 close.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"Trend tells you when to look; volume and fundamentals tell you whether to act."*
>
> — RESEARCH DESK MAXIM

We now separate tape from thesis. On the verified 6 November close, Jyoti traded at ₹1,019.90. The facts ledger classifies it as Stage 2 markup: price above the rising 50-day average of ₹1,004.13 and the 200-day average of ₹833.18, with the 50-day line itself above its level ten sessions earlier. The stock is also above its 30-week simple average around ₹842.90 and weekly 10-period EMA near ₹964.30 in the TradingView snapshot. Those are supportive medium-term structures. They do not tell us whether the valuation is attractive, and the snapshot's "BUY_AT_CMP_NO_FOMO" label is a technical classification, not our independent investment verdict.

Momentum is mixed but not broken. The facts ledger records a daily RSI of 56.14, a one-month return of -4.77%, a 63-session relative-strength reading of +16.3%, and a 28-session relative-strength reading of -12.41%. The stock had gained over the two-week window, but the shorter relative-strength measure says it had recently lagged its benchmark. On 6 November, volume was 581,499 shares, about 0.58 times the 20-day average in the ledger. The TradingView snapshot's 30-day comparison is 0.66; these use different averaging windows, so we keep the source definition attached rather than force them into one value. A trend can remain Stage 2 while demand at the margin cools.

The broader market was labelled "Uptrend (narrow breadth)" in the same session ledger, with about 45.4% of the Nifty 500 universe above its 50-day average and five distribution days. That is not a reason to short every stock, but it does argue against chasing a single strong close. Jyoti's relative strength over roughly three months was positive, while its shorter relative-strength reading was negative. In other words, the longer chart remains constructive, but recent leadership is not uniform. The technical setup is one of "quality and trend intact, near-term confirmation incomplete."

The exact levels matter. The snapshot identifies the rising 50-day average near ₹1,004.13 as nearest support and gives a monitor band of ₹949.84–₹1,019.19. The November 6 close at ₹1,019.90 was slightly above the top of that reference band. The short-term pivot resistance was around ₹1,033.80, while the 52-week high was ₹1,134.60. The consumer-tool model's structural invalidation stop is ₹817.89. We do not convert these into an automatic buy order. The current share price is expensive by our valuation work; a retest of support would improve entry timing but would not resolve Huron or cash-flow risk.

Our technical rule is therefore stricter than the scanner's. A pullback into ₹949.84–₹1,019.19 must hold, and a rebound should reclaim ₹1,033.80 with volume above the 20-day average before we call the short-term breakout confirmed. If the stock loses the support band, we do not average down automatically; we wait for a reclaim or an explicit new base. A close below ₹817.89 would invalidate the present structural setup in the snapshot. The price is not far from the 50-day average, which is attractive for risk placement, but the distance to the structural stop remains wide and the fundamental scenario value is below the market. This is why the short-term action remains WAIT FOR SUPPORT, not IMMEDIATE BUY.

Institutional positioning has to be described carefully. At September 2026, promoter holding was 62.55%, FII holding 5.26%, DII holding 12.86% and public holding 19.33%; the issuer archives quarterly shareholding filings . The Screener history shows FII ownership peaking at 9.91% in September 2025 before declining to 5.26% in September 2026; DII ownership rose from 5.89% in March 2024 to around 13% in 2025–26 and stood at 12.86% in September 2026. These are quarterly ownership snapshots, not a daily order-flow series. Shareholding classifications can also change. We will not claim that institutions bought or sold shares on 6 November without transaction-level evidence.

What does the tape say about a trade? It says that price is above rising averages, momentum is neutral-to-positive, and the shares are not extended far above the 50-day average. It does not say that volume is confirming a fresh institutional accumulation wave. The stock is below its 52-week high, but the recent recovery has brought price into the upper portion of its range. A trader can define a tight invalidation around the 50-day average, but our published structural stop is wider. Position size should be based on that stop, not on the comforting

idea that “support is nearby.” If a buyer cannot tolerate the full drawdown to structural invalidation, the correct response is smaller risk or no trade.

Across markets, tape-reading needs the same discipline. A US Haas supplier may have no listed equity quote because the company is private; a listed Indian peer such as Macpower can show its own trend and valuation, but not confirm Jyoti’s relative strength; a European global peer such as DMG MORI can have a different exchange calendar and currency. Our chart is the TradingView NSE:JYOTICNC instrument. For the fundamental peer comparison, we use separate company data and do not infer that a peer rally validates this stock.

Our independent short-term verdict is “watch, do not chase.” If the price retests the band and reclaims ₹1,033.80 on better volume, the chart would be more actionable; the event would still be subject to the fundamental gates in Chapter 9. If price loses the band, the risk/reward worsens. If it breaks the 52-week high, the trend may strengthen, but a breakout above ₹1,134.60 would not remove a 75-times earnings valuation. In the next chapter, we synthesize the bull and bear cases and decide what a long-term investor should do with this tension.

The market’s narrow-breadth label matters here because many stocks can rise while leadership remains concentrated. Jyoti’s Stage 2 structure is constructive, but the ledger’s broader breadth figure was only about 45.4% above the 50-day average. That limits the value of using one stock’s strong six-month trend as evidence that every pullback will be bought. There are five distribution days in the broader market ledger, so a breakout should earn confirmation through volume and price behavior rather than rely on the index alone. We can admire the chart and still demand an entry that fits the portfolio’s risk budget.

> **NARRATOR’S REFLECTION**
>
> It is tempting to let the chart settle the whole debate because the chart is clean and immediate. Keep it in its lane. The chart can tell you where the market is accepting price today; it cannot tell you whether a French licence will arrive or whether capex will turn into cash.

GLOBAL PARALLEL • US / INDIA / EUROPE

The US private Haas business does not give you a listed peer chart. India's Macpower can be observed separately but cannot substitute for JYOTICNC relative strength. Europe's DMG MORI has its own exchange, currency and cycle. Our technical levels therefore come only from NSE:JYOTICNC's 6 Nov snapshot.

MENTAL MODEL • TAPE, FLOW, FUNDAMENTALS

- Tape: Stage 2, above rising 50-DMA and 200-DMA.
- Volume: 0.58× 20-day average on 6 Nov; not strong confirmation.
- Institutional ownership: quarterly percentages, not daily buying/selling.
- Fundamentals: cash and Huron gates remain unresolved.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"A decision is only as good as the evidence that would change it."*
>
> — RESEARCH DESK MAXIM

We have reached the final question. The bull case deserves to be argued in its strongest form, not reduced to patriotic slogans. India's industrial ecosystem is expanding; the annual report and management commentary point to manufacturing investment across auto, defence, aerospace, electronics, railways and general engineering. A domestic CNC supplier with design capability, manufacturing integration, service reach and a large installed base can replace imports where the buyer values responsive application support and shorter supply chains. Jyoti's September order book of ₹5,082 crore, record 1,911 Q2 dispatches and additional capacity give the company a credible path to higher sales. If high-end mix improves, controller localization succeeds and utilization rises, the operating margin can recover toward management's 25% target.

The bull also sees strategic optionality in Huron. Huron brings a long-standing European five-axis name, design capability and sales/service access. It expanded capacity in Strasbourg in November 2025, and management says some export permissions have begun to arrive. The company's new Indian capacity and foundry could complement this high-end offer, while ECMS support can fund internal electronics capabilities. If the French matter is resolved without lasting restrictions, the subsidiary can return from being a drag to being a technology and market-access asset. If the controller project works, the group may improve supply-chain resilience and retain more value per machine. The upside is not imaginary; it is an integrated industrial platform with a broad path to growth.

Now the strongest bear case. The order book is not a cash-flow statement. H1 FY27 revenue rose 21%, but EBITDA rose only 7% and PAT fell 17%; the consolidated margin fell from 24.5% to 21.6%. FY26 CFO was ₹54.4 crore against ₹526.8 crore EBITDA, and free cash flow after capex was negative ₹268.8 crore. Inventory stood at ₹1,440.5 crore in September, borrowings ₹942.9 crore and cash ₹26.7 crore. At ₹1,019.90 the stock traded at 75.1 times

trailing earnings. A company can grow revenue and still destroy equity value if each new rupee of revenue requires too much working capital and capex.

The second bear point is the French subsidiary. The statutory auditor's emphasis-of-matter paragraph says accumulated losses have eroded Huron's net worth, records an ongoing French judicial investigation and notes machines under customs control, while indicating material uncertainty that may affect the subsidiary's going concern. It also says the opinion is not qualified. Management's November call said it had not received further communication since early April, but export-license approvals were taking longer and some production could not yet be dispatched. That is not a clean resolution. The group also has substantial investment and loans tied to the subsidiary, and the recoverability test depends on management's future discounted cash-flow assumptions. A delay can be temporary; a legal or license restriction can also change the asset's economic value.

The third bear point is concentration and mix. The company reports diversified end-user markets, but the largest customer accounted for ₹470.66 crore of FY26 revenue, around 22.5%, and the top five for ₹683.97 crore, around 32.7%. The product dispatch mix was overwhelmingly entry-level by count in Q2, whereas management's margin narrative leans on higher-end machines and Huron contribution. Outside-India revenue fell to ₹244.02 crore in FY26 from ₹623.38 crore the prior year. We do not know the exact customer, product or legal-case contribution to each number. That uncertainty itself argues against capitalizing the most optimistic mix before it is reported.

Our base case is neither the investor presentation nor a short seller's worst-case scenario. It assumes ₹20 of forward EPS and a 45-times exit multiple, producing ₹900. It requires substantial improvement from trailing EPS of ₹13.57, supported by H2 dispatches and some Huron normalization, while applying a lower multiple than today. Our bull case uses ₹28 EPS and 60 times earnings, or ₹1,680, because capacity utilization, high-end mix, controllers and Huron all progress. Our bear case uses ₹12 EPS and 35 times, or ₹420, reflecting margin pressure, delay and multiple compression. We assign 55% base, 20% bull and 25% bear probabilities. Those are our judgments, not management forecasts or statistical frequencies.

The scenario weights are judgments, not calibrated frequencies. The 55% base weight reflects the order book and added capacity, which make some recovery more likely than a flat run-rate; the 25% bear weight reflects H1 PAT falling 17%, negative FY26 free cash flow and Huron/legal risk; the 20% bull weight requires capacity, higher-end mix and Huron to work together. A simple sensitivity keeps the weights and exit multiples unchanged but replaces base EPS of ₹20 with current TTM EPS of ₹13.57: base value becomes ₹610.65 at 45 times, and the probability-weighted value falls to about ₹777, or 23.8% below the close.

The weighted scenario value is ₹936, about 8% below the ₹1,019.90 close. That is before taxes, transaction costs or the chance that the share price moves sharply between filings. The case is negatively asymmetric for a new buyer at this price: the bull reward is large, but it needs more than one thing to go right; the base case is below the current price; and the bear case loses more than half. A patient investor can still choose to own the business for a longer horizon, but the attractive company / attractive stock distinction matters. Our independent verdict is WAIT FOR SUPPORT and NO NEW ALLOCATION at CMP.

For short-term trading over one to twelve weeks, monitor ₹949.84–₹1,019.19, the deterministic support reference band. Current price ₹1,019.90 is just above it. We would consider a tactical setup only after a successful retest, a close back above ₹1,033.80 and volume stronger than the 20-day average, with the structural invalidation level ₹817.89 understood before entry. This is a wide structural risk; position size should be small enough that a stop event is acceptable. If price loses support, wait for a reclaim rather than averaging down. A move above the 52-week high ₹1,134.60 can strengthen the trend but does not by itself make the valuation cheap.

For the medium term over three to eighteen months, wait for three forms of proof: consolidated EBITDA margin recovery toward 25% without one-off help; Huron licenses, dispatches, recognition and collections moving in the same direction; and full-year CFO strong enough to fund a meaningful share of capex without new debt pressure. We also want inventory growth to slow relative to sales and the company to explain the difference between its management inventory-days figure and the provider's FY26 days series. If only revenue and backlog rise while cash and margins lag, the thesis has not improved.

For the long term over three to ten years, Jyoti remains a conditional compounder candidate, not a proven one at today's price. The product breadth, installed base, local manufacturing and Huron heritage deserve diligence; so do the annual report's legal and cash disclosures. If the Huron matter resolves, controllers qualify with customers, and return on incremental capital remains high after working capital, the business could earn a place in a long-duration portfolio. If those conditions do not arrive, the strategic narrative should not shield the equity from a lower valuation. We would revisit below ₹900 only as a valuation checkpoint, not as an automatic buy; the base case itself is ₹900 and the business gates still apply.

There are two signs that would change us upward: a clean Huron licensing and revenue bridge, and two consecutive reporting periods in which consolidated margins and operating cash strengthen together. There are also two signs that would change us downward: a new legal/export restriction or a significant reversal in Huron shipments, and further inventory/debt growth without corresponding cash collection. For the tape, ₹817.89 invalidates the present structural setup; for the business, a failure to convert the order book despite installed capacity invalidates the growth bridge. We are not asking management to prove that manufacturing is important. We are asking it to show that the group can turn that importance into shareholder cash.

Our global parallels make the decision clearer. US machine-tool businesses remind us that service, applications and installed base can keep customers loyal, but private ownership can hide the multiple and cash profile. India's Macpower shows how smaller CNC players also enjoy strong demand and can trade at premium multiples; the sector alone does not distinguish winners. Europe's DMG MORI reports order intake that swings with the cycle, while Huron demonstrates the extra complexity of cross-border technology and export control. Jyoti's edge is its attempt to bridge these worlds from a lower-cost Indian base. Its risk is attempting that integration while the equity valuation already assumes a smooth climb.

So, if you and I were making the decision tonight, we would not short the company simply because it trades at a premium, and we would not buy it simply because the order book is large. We would keep it on the watchlist, place no fresh allocation at ₹1,019.90, and set alerts around the support band, ₹1,033.80 resistance, ₹817.89 structural invalidation, the next

Huron disclosure and the FY27 cash result. If those gates clear, we can recalculate value with new numbers. If they fail, we have protected capital for a better setup. That is the No-FOMO plan: define what changes your mind before the market asks you to change it.

Before we leave the desk, keep the difference between a monitoring band and a valuation band in your notes. ₹949.84–₹1,019.19 is a price-structure reference derived from the consumer-tool snapshot. ₹900 is our base scenario value under ₹20 EPS at 45 times. The first may help a short-term trader plan a test; the second tells a long-term investor what our central earnings-and-multiple case supports. Neither number is a guarantee, and neither is permission to buy without the Huron and cash gates. When technical support and modeled value disagree, we prefer to re-underwrite rather than force the story to fit the chart.

NARRATOR'S REFLECTION

The strongest decision is not the one that predicts the next candle. It is the one that names the evidence that would make you buy, wait or walk away—and does not move those conditions after the price has already moved.

GLOBAL PARALLEL • US / INDIA / EUROPE

US machine-tool companies show the value of service and application support; Macpower shows the premium that can attach to Indian CNC growth; DMG MORI reflects global order-cycle swings; Huron adds Europe-specific legal and export-control risk inside Jyoti's own group. None of these analogies removes Jyoti's own proof burden.

MENTAL MODEL • NO-FOMO ACTION PLAN

- Short term: no chase at ₹1,019.90; watch ₹949.84–₹1,019.19 and reclaim of ₹1,033.80 with volume.
- Structural invalidation: ₹817.89; size risk before entering.
- Medium term: require margin recovery, Huron licenses/dispatch/collections and cash conversion.
- Long term: conditional compounder only after returns on new capital and legal risk are demonstrated.
- Scenario-weighted value ₹936; no new allocation at CMP.

Notes, Filings & Primary Sources

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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio

execution.

Verified against the IN Research Ledger • Session Cutoff 2026-11-06